MGT411 Quiz#3

By Sparky



FOR PAID SOLUTIONS CONTACT 03147094561

Click Join Now & Subscribe Button

SUBSCRIBE

WHATSAPP GROUP 1

Join NOW

WHATSAPP GROUP 2

Join NOW

WHATSAPP GROUP 3

Join NOW

Join WHATSAPP CHANNEL

JOIN NOW

@studywithhamza25

Visit Our Website

PAID SOLUTIONS CONTACT 03147094561

https://vusparky.blogspot.com/

https://chat.whatsapp.com/IpD5cfNaIJX1u1MF5mHQc6



FOR PAID SOLUTIONS CONTACT 03147094561

1. Zero inflation is bad because
    a. Both option A(1) & B (2)
    b. None of given options
    c. It increase risk of deflation✔*SPARKY*
    d. It increase the default of loans
2. Which of the following is included in bank's liabilities?
    a. Deposits of customers✔*SPARKY*
    b. Deposits at the central bank
    c. Balances with other banks
    d. Treasury bills
3. Return on Assets indicates:
    a. Ratio of profit with assets✔*SPARKY*
    b. Profitability and net worth
    c. Required rate of return
    d. Ratio of revenue with assets
4. There are _____ type/s of life insurance.
    a. 2✔*SPARKY*
    b. 4
    c. 1
5. d.3
6. One thing that is true about economic policy in the U.S. is:
    a. Monetary and Fiscal policy often times conflict✔*SPARKY*
    b. Monetary policy ultimately controls fiscal policy since the Fed controls the money supply
    c. Fiscal and monetary policy never conflict
    d. Fiscal policy ultimately controls monetary policy since Congress can control the Fed's budget
7. We can calculate ---------- of a bank by taking difference between bank's assets and bank's liabilities

STUDY WITH HAMZA
@studywithhamza25
FOR PAID SOLUTIONS CONTACT 03147094561

a. Net Worth ✔SPARKY
b. Net borrower
c. Vault cash
d. Net investment

8. Which of the following is included in the government-sponsored enterprise?
   a. Small and Medium Enterprise (SME)
   b. House Building Finance Corporation (HBFC) ✔SPARKY
   c. Khushhali Bank
   d. All of the given options
9. Inflation creates which kind of risk specifically?
   a. Optional risk
   b. Non systematic risk
   c. Systematic risk ✔SPARKY
   d. None of above
10. In "gap analysis," the gap is the difference between a banks's:
   a. Assets and liabilities
   b. Long-term securities and short-term securities
   c. Deposits and loans
   d. Rate-sensitive assets and rate-sensitive liabilities ✔SPARKY
11. Banks clearly specify the amount of risk that any individual trader may take, to manage ----------
   a. Sovereign risk
   b. Trading risk ✔SPARKY
   c. Operational risk
   d. Liquidity risk
12. Banks can also borrow by using a repurchase agreement or repo, which is a short-term _____.
   a. Personal loan

STUDY WITH HAMZA
FOR PAID SOLUTIONS CONTACT 03147094561

b. Corporate loan
c. Collateralized loan ✔ *SPARKY*
d. Discount loan

13. Which one of the following method is not included in credit risk analysis?
    a. Check borrower's credit history
    b. Demand of collateral
    c. Screen loan application
    d. Use interest rate swaps ✔ *SPARKY*
14. Which of the following is NOT included in the assets of commercial banks?
    a. Bills payable ✔ *SPARKY*
    b. Cash Items
    c. Securities
    d. Reserves
15. Which one of the following is NOT non depository institution?
    a. Finance Companies
    b. Insurance Companies
    c. Securities Firms
    d. Credit unions ✔ *SPARKY*
16. Profitability of one bank may vary from the profitability of other banks due to following factor/s:
    a. Size of the bank
    b. All of the given options ✔ *SPARKY*
    c. Level of professional activities
    d. Efficient cost management
17. If a bank earns $22,000 net profit after taxes and has $412,000 in assets, what is its return on assets ratio?
    a. 2.8%

STUDY WITH HAMZA
studywithhamza25
FOR PAID SOLUTIONS CONTACT 03147094561

b. 18.72%
c. 6.5%
d. 5.3%✔SPARKY

18. Which of the following is NOT a depository institution?
a. Commercial banks
b. Brokerage house✔SPARKY
c. Savings institutions
d. Credit unions

19. Interest rate risk arises as a result of which one of the following situation?
a. It arises when banks make additional profit by using derivatives
b. It arises when two sides of the balance sheet do not match up✔SPARKY
c. It arises when loan is not repaid
d. It arises because of sudden demands of funds

20. If the purchase price of a financial instrument differs from the price at which it is sold, the result may be decrease in the value of the financial instrument. Such risk is termed as:
a. Liquidity risk
b. Sovereign risk
c. Interest rate risk
d. Trading risk✔SPARKY

STUDY WITH HAMZA
@studywithhamza25
PAID SOLUTIONS CONTACT 03147094561

FOR PAID SOLUTIONS CONTACT 03147094561